

1.2 Look Around Yourself i.e Your Environment

Now let us learn - how can we generate investment ideas from our environment. We use numerous products on a daily basis. A lot of these products or brands have been used in our homes for a very long time.

We have consumed Nestle products such as Maggie and KitKat since our childhood. Are we convinced that we will continue to consume Maggie and KitKat for the next 5 years? If the answer is yes, then we can proceed to research on those companies from an investment point of view. We can generate a lot of good ideas in this manner, just by looking around day to day items- food we eat, cars we drive, hotels we stay at, ads we see and so on. Just an open eye can give brilliant investment ideas.



Nestle



Marico



Jio



Lays

Note: We will have several ideas, but rather than getting excited about the conclusion, we must analyze them. Once an idea is generated we must move to the next step which is the 'evaluation of the companies'. We will dig deep into each idea. We have to evaluate the investment worthiness of ideas, we might not invest in even our favourite products, if they are not attractive investment wise.